

Asian Autos

Asian Autos: BYD's Kei-car BEV 'Racco' arrives - can it make a meaningful impact on Japan's auto market?



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On July 28, BYD launched the Racco, its first Kei-car BEV in Japan. After subsidies, the model is priced <JPY 2 mn, making it one of the most competitively priced BEVs in the market, although BYD adopted a more cautious pricing strategy than we had anticipated. The company is targeting annual sales of 10K units. With 2026 increasingly viewed as a potential inflection point for BEV adoption in Japan, the launch of the Racco could mark an important development. In this report, we revisit the key question; how significantly could Racco reshape Japan's auto landscape, and could it help accelerate the EV transition?

BYD's 'Racco' starts at JPY 1,995k after subsidies: BYD's Racco is the company's first Kei-car BEV developed specifically for Japan and is positioned in the highly popular super-height wagon (SHW) segment. The model is offered in three grades - 200, 300 Plus, and 300 Premium - with prices ranging from JPY 2,145k to JPY 2,497k. After applying the JPY 150k CEV subsidy, the entry-grade Racco 200 is available at a purchase price of JPY 1,995k, making it one of the most competitively priced BEVs in Japan. The Racco offers a WLTC driving range of 210 km for the 200 grade and up to 320 km for the 300 Plus and 300 Premium, while also featuring a wide range of user-friendly features.

Japan's Kei-car market, accounting for ~40% of total sales: Japan's Kei-car market accounts for 40% of vehicle sales, supported by favorable tax treatment and ownership costs. Despite Japan's auto demand shrinking to below 5 mn units, Kei-car demand has remained resilient at around 1.7 mn units annually. The market is dominated by Suzuki and Daihatsu, which together account for nearly 70% of sales, while the SHW segment, where BYD's Racco is positioned, represents the largest category.

2026 increasingly seen as a potential inflection point for BEV adoption in Japan: Japan's BEV adoption remains low, but new model launches and enhanced government subsidies are increasingly positioning 2026 as a potential inflection point. The number of Kei-car BEV models in Japan is set to more than double in 2026 vs 2025. Against this backdrop, the BYD Racco is priced more than 10% below existing Kei-car BEVs on average despite being positioned in the larger SHW segment. Combined with a descent driving range, we believe the model is well positioned for market acceptance.

Can BYD Racco make a meaningful impact on Japan's auto market?: BYD's presence in Japan remains limited, with only 3.7k units sold in 2025. While we believe its entry into Japan's Kei-car market, the country's most price-sensitive segment, is strategically sound, achieving its 10k-unit sales target would raise its overall/Kei-car market share to 0.3%/0.6%. The Racco's competitive pricing, spacious SHW packaging, and EV-specific advantages should help attract customers considering models such as the Honda N-BOX, Suzuki Spacia, and Daihatsu Tanto/Move, while also supporting broader BEV adoption over time. That said, we do not expect the Racco to materially disrupt the market in the near term, given Japanese consumers' preference for domestic brands and BYD's limited sales and service network. However, given the importance of the N-BOX, Japan's best-selling model, to Honda's domestic sales, successful market penetration by the Racco could be slightly negative for Honda.

BERNSTEIN TICKER TABLE

Ticker	Rating	28 Jul 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
7269.JP (Suzuki)	O	JPY	2,078.50	2,550.00	23.4%	JPY	227.69	234.71	255.99	9.1	8.9	8.1
7203.JP (Toyota)	O	JPY	3,008.00	4,200.00	7.2%	JPY	295.25	308.93	367.29	10.2	9.7	8.2
7267.JP (Honda)	M	JPY	1,612.00	1,300.00	(2.8)%	JPY	(106.06)	161.84	147.24	(15.2)	10.0	10.9
7270.JP (Subaru)	U	JPY	2,680.00	2,350.00	(6.8)%	JPY	125.50	222.96	249.75	21.4	12.0	10.7
7201.JP (Nissan)	U	JPY	337.40	350.00	2.2%	JPY	(152.58)	4.78	53.06	(2.2)	70.5	6.4
7261.JP (Mazda)	U	JPY	1,182.50	1,000.00	23.1%	JPY	55.64	116.61	142.17	21.3	10.1	8.3
1211.HK (BYD)	O	HKD	90.00	136.00	(29.7)%	CNY	3.58	4.90	6.90	21.7	15.8	11.3
002594.CH (BYD)	O	CNY	93.35	124.00	(16.9)%	CNY	3.58	4.90	6.90	26.1	19.0	13.5
JPL			--									
ASIA			--									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate **Suzuki Outperform** with a price target of **JPY 2,550.00**.

We rate **Toyota Outperform** with a price target of **JPY 4,200.00**.

We rate **Honda Market-Perform** with a price target of **JPY 1,300.00**.

We rate **Subaru Underperform** with a price target of **JPY 2,350.00**.

We rate **Nissan Underperform** with a price target of **JPY 350.00**.

We rate **Mazda Underperform** with a price target of **JPY 1,000.00**.

We rate **BYD Outperform** with price targets for **1211.HK at HK\$136.00** and for **002594.CH at RMB 124.00**.

DETAILS

BYD'S KEI-CAR BEV 'RACCO' ARRIVES - CAN IT MAKE A MEANINGFUL IMPACT ON JAPAN'S AUTO MARKET?

On July 28, BYD launched the Racco, its first Kei-car BEV in Japan (Exhibit 1). Priced at a highly attractive sub-JPY 2 million level after government subsidies, the model offers a compelling value proposition for Japanese consumers, although BYD adopted a more cautious pricing strategy than we had originally anticipated. BYD has set a sales target of 10,000 units for the Racco. With 2026 increasingly viewed as a potential inflection point for BEV adoption in Japan, the launch of the Racco could represent an important development for the industry. In this report, we revisit the key question: how significant an impact could BYD's new Kei-car have on Japan's automotive landscape, and could it help accelerate the country's transition to EVs?

BYD'S RACCO STARTS AT JPY 1,995K MN AFTER SUBSIDIES

BYD's Racco is the company's first Kei-car BEV developed specifically for the Japanese market, marking an important milestone in its efforts to strengthen its presence in Japan. Importantly, the model is positioned within the super-height wagon segment, the largest and most popular category in Japan's Kei-car market, where practicality, spacious interiors, and family-oriented features have historically driven strong demand. The Racco is offered in three grades - 200, 300 Plus, and 300 Premium - with prices ranging from JPY 2,145k to JPY 2,497k. Following the application of the JPY 150k government subsidy available for the model, the entry-grade version is expected to be priced at an effective JPY 1,995k for consumers, making it one of the most attractively priced BEVs in the Japanese market (Exhibit 2).

The entry-grade 200 is equipped with a 22.4 kWh Blade Battery delivering a WLTC range of 210 km, while the 300 Plus and 300 Premium feature a larger 35.84 kWh battery providing up to 320 km of WLTC range. All variants are powered by a front-mounted electric motor producing 47 kW (64 PS) and 160 Nm of torque and support both AC and DC charging. In addition to its battery technology, BYD has equipped the Racco with a relatively comprehensive feature set for the Kei-car market, including powered sliding doors with hands-free operation, a digital instrument cluster, touchscreen infotainment system, Apple CarPlay and Android Auto connectivity, NFC smartphone key functionality, battery pre-heating, V2L capability on higher-grade models, and a variety of family-oriented convenience features.

The vehicle also incorporates a suite of ADAS technologies, including autonomous emergency braking, forward collision warning, lane-keeping assistance, adaptive cruise control, and other ADAS functions designed to enhance everyday usability and safety. Measuring 3,395 mm in length, 1,475 mm in width, and 1,800 mm in height, the cabin accommodates four passengers and offers a highly flexible interior layout, with cargo capacity expanding to a substantial volume when the rear seats are folded. Overall, BYD appears to be positioning the Racco as a value-for-money BEV, with its highly attractive pricing likely to be the model's key differentiator. Coupled with a long driving range, advanced connectivity, comprehensive safety features, and strong everyday practicality, the Racco offers a compelling package for cost-conscious Japanese consumers, in our view.

EXHIBIT 1: BYD'S Racco starts at JPY 1,995k after subsidies



Source: Company website

EXHIBIT 2: The Racco is offered in three trims - the 200, 300 Plus, and 300 Premium

OEM	BYD	BYD	BYD
Model	RACCO	RACCO	RACCO
Edition	200	300 Plus	300 Premium
Model type	Super-Height Wagon	Super-Height Wagon	Super-Height Wagon
Sales price (JPY k)	2,145	2,398	2,497
L x W x H (m)	3.4 x 1.5 x 1.8	3.4 x 1.5 x 1.8	3.4 x 1.5 x 1.8
Cubic meter (m3)	9.0	9.0	9.0
Vehicle weight (kg)	1,160	1,220	1,230
Fast charging time (min)	30	30	30
EV Range (km)	210	320	320
Battery capacity (kWh)	22.4	35.8	35.8
Electric Mileage (km/kWh)	9.4	8.9	8.9
Price (JPY k) / m3	238.3	266.4	277.4
Price (JPY k)/ Electric Mileage	228.8	268.6	279.7

Source: BYD, Bernstein analysis

JAPAN'S KEI-CAR MARKET, ACCOUNTING FOR ~40% OF TOTAL AUTO SALES**Japan's unique Kei-car standard**

The Kei-car standard that BYD's Racco complies with is a unique vehicle category in Japan, characterized by strict restrictions on vehicle dimensions and powertrain output (Exhibit 3). Specifically, these cars must have an engine displacement of 660 cc or less, a length of no more than 3.4 meters, a width within 1.48 meters, and a height up to 2.0 meters. This classification positions Kei-cars as smaller and more economical compared to regular passenger vehicles. Historically, the standard was established in 1949, initially limiting engine displacement to 250 cc, but it has since expanded to the current 660 cc limit. Due to their compact size and fuel efficiency, Kei-cars are highly convenient for urban use, and they benefit from favorable tax treatments—such as lower acquisition tax, vehicle tax, and weight tax—making their ownership and maintenance costs significantly cheaper than those of standard cars. Additionally, insurance premiums and inspection fees for Kei-cars tend to be relatively low. Overall, the Kei-car standard is well integrated into Japan's transportation environment and economic conditions, contributing to reduced environmental impact and alleviating traffic congestion.

The Kei-car market, originally centered around small passenger models such as compact sedans and hatchbacks, as well as commercial models like trucks and vans—reflecting its roots in affordability and functionality—has evolved through gradual expansions in engine displacement and dimension regulations, resulting in a wide variety of model segments available today (Exhibit 4, Exhibit 5). However, in recent years, the Japanese Kei-car market has offered a wide range of segment models—comparable to those in the global automobile market—including more spacious height wagons and super-height wagons that reflect consumer needs in Japan, SUVs with added value such as enhanced off-road capability, and sports models focused on driving performance and design for niche customer segments.

EXHIBIT 3: The Kei-car standard sets limits on vehicle dimensions and powertrain output, offering owners favorable benefits in ownership and maintenance costs

Type	Kei-car (minicar)	Registration car (Normal PV)
Size	Length ≤ 3.4m, Width ≤ 1.48m, Height ≤ 2.0 m	Compact car: Width ≤ 1.7 m, Height ≤ 3.8m, no length limit Standard car: Height ≤ 3.8m, no width/length limit
Engine displacement	Up to 660 cc	Compact car: up to 2,000 cc Standard car: no upper limit
Power output capacity*	Up to 64 hp (47kW)	No upper limit
Seating capacity	Up to 4 occupants	Up to 10 occupants
Annual automobile tax	JPY 10,800 (private use)	> JPY 25,000 (depending on the engine displacement)
Weight tax*	JPY 6,600 - 8,800	JPY 8,200 - 75,600
Environmental performance tax	Up to 2% of taxable purchase price	Up to 3% of taxable purchase price
Highway toll rates	~20% discount vs. registered vehicle	Standard rates
License plate	Yellow	Green

Note: Power output limits are self imposed by each manufacturer.

Source: Keikenkyo, Zenkeijikyo, Ministry of Land, Infrastructure, Transport and Tourism of Japan, AIRIA, Bernstein analysis

EXHIBIT 4: Diverse segments in the Kei-car market #1

	Super-height wagon	Height wagon	SUV
Image	A purple Honda N-BOX super-height wagon.	A dark blue Suzuki Wagon R height wagon.	A light blue Suzuki Hustler SUV.
	N-BOX (Honda)	Wagon R (Suzuki)	Hustler (Suzuki)
Key characteristics	- The best-selling Kei-car segment - Tallest Kei-car segment (~1.8 m height) - Equipped with sliding doors for easy entry and spacious interiors - Prioritizes comfort and practicality for families and elderly drivers	- Slightly lower roof (1.65–1.75 m) - Usually without sliding doors, focusing on lightweight and fuel efficiency - Lower-priced alternative to super-height wagons	- Raised ground clearance and SUV-style design - Emphasizes active lifestyle, outdoor use, and youthful appeal - Growing popularity among younger users
Flagship models	- N-BOX (Honda) - Spacia (Suzuki) - Tanto (Daihatsu) - Roox (Nissan) - eK Space (MMC) - Racco (BYD)	- Wagon R (Suzuki) - Move (Daihatsu) - Dayz (Nissan) - N-ONE e: (Honda, BEV) - Sakura (Nissan, BEV) - ek X EV (MMC, BEV)	- Hustler (Suzuki) - Taft (Daihatsu)

Source: Company websites, Bernstein analysis

EXHIBIT 5: Diverse segments in the Kei-car market #2

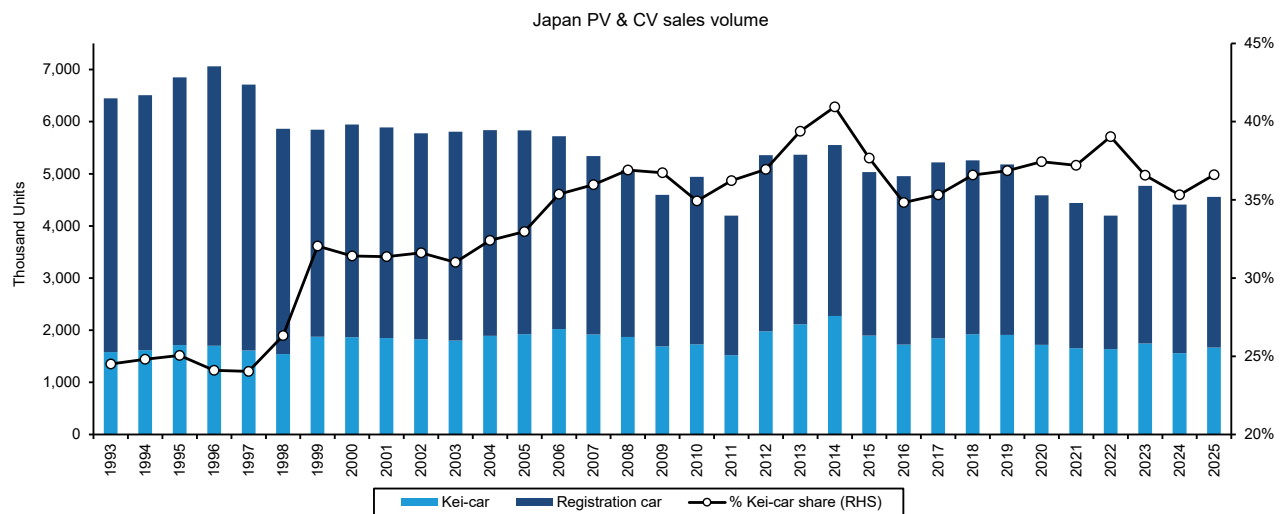
	Hatchback	Kei Van/1-Box/Cab-van	Sports/Open-top
Image	Alto Lapin (Suzuki)	Atrai (Daihatsu)	Copen (Daihatsu)
Key characteristics	- Standard kei passenger car layout (5-door hatchback) - Compact, economical, easy to handle for city driving - Core segment for entry-level ownership	- Box-shaped vehicles designed for cargo and commercial use - Prioritizes loading capacity; often rear-wheel-drive - Used for delivery, maintenance, and welfare applications	- Performance-oriented, design-driven segment - Usually 2-seaters with lightweight bodies and low center of gravity - Niche but with a loyal enthusiast base
Flagship models	- Alto (Suzuki) - Alto Lapin (Suzuki) - Mira e:S (Daihatsu)	- Atrai (Daihatsu) - Every (Suzuki) - Clipper Van (Nissan)	- Copen (Daihatsu) - S660 (Honda, discontinued)

Source: Company websites, Bernstein analysis

Developments in Japan's Kei-car market, sustained growth in market share over the long term

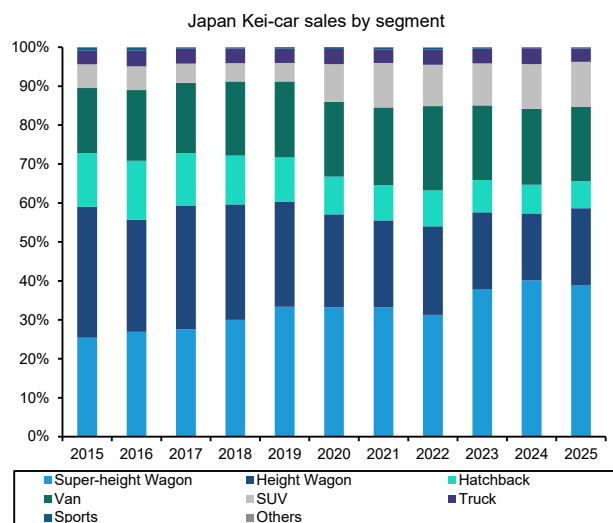
The Japanese automobile market peaked around the 1990s and has since gradually declined to a level below 5 mn units. Meanwhile, demand for Kei-cars has remained relatively stable, with their market share continuing to expand over the long term (Exhibit 6). The Kei-car market grew to about 2.3 mn units at its peak in 2014, followed by a gradual decline. However, aside from 2024, which was impacted by certification fraud issues involving Daihatsu (Toyota's wholly owned subsidiary), a leading Kei-car maker, the market has remained stable in recent years at around 1.7 mn units. Accordingly, the share of Kei-cars in the overall Japanese automobile market has been steadily increasing over the long term. In 2025, the share stood at ~37%, and in recent years it has generally remained at a level of ~40%. Meanwhile, the super-height wagon segment, where BYD's Racco is positioned, is the largest category within Japan's Kei-car market and has remained a key growth area, with sales volumes steadily increasing over the past several years (Exhibit 7). In 2025, the super-height wagon segment lead the current Kei-car market with a ~39% share, followed by the height wagon segment at ~20%.

EXHIBIT 6: While the overall Japanese automobile market continues a gradual decline, the share of Kei-cars has been steadily increasing over the long term, maintaining a relatively resilient volume



Source: JADA, Marklines, Bernstein analysis

EXHIBIT 7: In the current Kei-car market, the super-height wagon segment holds the largest market share



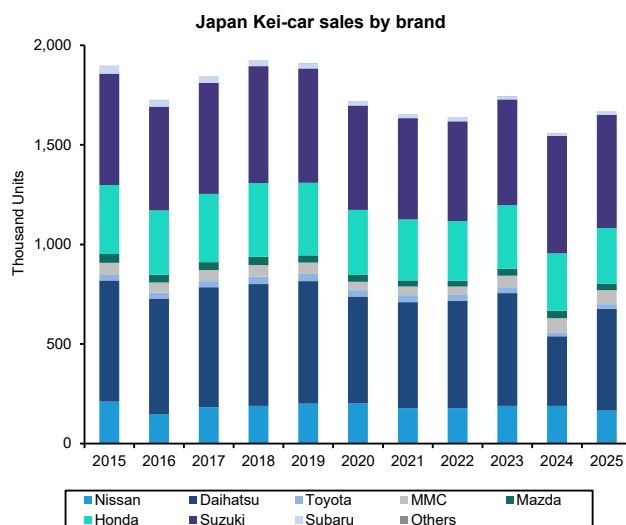
Source: Marklines, Bernstein analysis

Suzuki and Daihatsu dominate the Kei-car market, with Honda also maintaining a strong presence

All Japanese passenger car makers are active in the Kei-car market, but Suzuki and Daihatsu dominate the market, with Honda, Nissan, and Mitsubishi (MMC, not covered) trailing behind. Among the Kei-car manufacturers, Suzuki, the current market leader, has consistently maintained stable sales around 500K-600K units (Exhibit 8). Daihatsu, its main competitor, experienced a sharp 38% YoY drop in 2024 due to a shipment halt caused by the certification fraud issue, but volume have rebounded sharply since 2025. Honda's sales, driven largely by its N-Series, have hovered around 300K units, while Nissan's sales have remained near 200K units. MMC has maintained a steady sales volume of between 50k and 70k units. In addition, other automakers like Toyota, Mazda, and Subaru also provide Kei-car lineups to cater to specific customer needs. However, their current offerings mainly consist of models supplied through OEM agreements with other automakers.

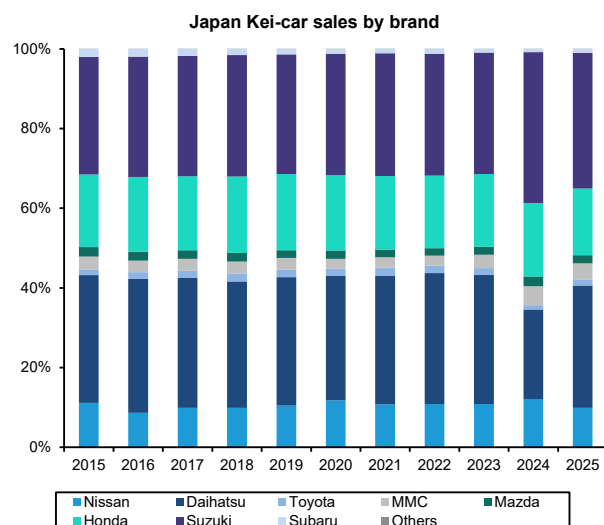
Over the past decade, the market shares of the major players have remained largely stable (Exhibit 9). Suzuki and Daihatsu, the two largest manufacturers, have each held just over 30% of the market, together controlling nearly 70% of the Kei-car segment. Honda has followed with around 20%, Nissan holding about 10%, and MMC maintaining roughly a 3% share. In 2025, Suzuki maintained the largest share of the Kei-car market at 34%, followed by Daihatsu with 31%, Honda at 17%, Nissan at 10%, and MMC at 4% (Exhibit 10). The 2025 Kei-car sales rankings by model were dominated by super-height models such as Honda's N-BOX, Suzuki's Spacia, and Daihatsu's Tanto and Move (Exhibit 11). At the top, Honda's N-BOX stands out as the flagship model of the N-Series, which revitalized the company's Kei-car business in the 2010s. Both Suzuki and Daihatsu, the market leaders, offer a broad lineup that cover various segments such as SUVs and height wagons. Notably, Suzuki's Hustler, currently ranked 6th, was launched in 2014 as a unique blend of height wagon and SUV, carving out a new niche and earning strong praise. Additionally, Suzuki's Jimny, although a Kei-car, is a true four-wheel-drive vehicle and remains highly popular to this day.

EXHIBIT 8: Suzuki's sales have remained steady at 500K-600K units, while Daihatsu has recently seen a decline due to the certification fraud issue



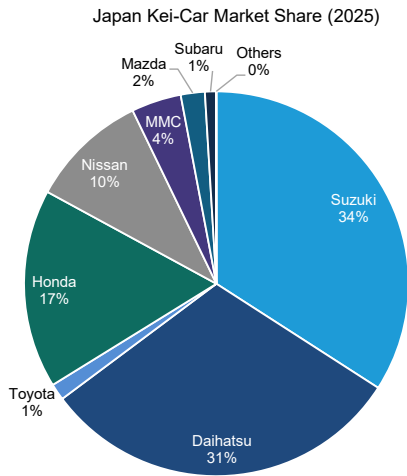
Source: Marklines, Bernstein analysis

EXHIBIT 9: Except for 2024, when Daihatsu was impacted by the certification fraud issue, the market shares of automakers have generally remained stable



Source: Marklines, Bernstein analysis

EXHIBIT 10: Suzuki & Daihatsu together hold just <70% market share, with Honda also maintaining a strong presence



Source: JLMVMA, Bernstein analysis

EXHIBIT 11: Honda's N-BOX is the top-selling model, while Suzuki and Daihatsu provide a diverse lineup of models

#	Automaker	Model	Segment	Sales Unit (YTD)	YoY growth
1	Honda	N-BOX	SHW	102,419	-1.0%
2	Suzuki	Spacia	SHW	83,229	-1.3%
4	Daihatsu	Tanto	SHW	62,419	-4.5%
3	Daihatsu	Move	SHW	63,272	24.4%
5	Nissan	Roxx	SHW	53,173	44.1%
6	Suzuki	Hustler	SUV	47,004	-0.4%
7	MMC	Delica Mini	SHW	32,415	12.0%
8	Suzuki	Wagon R	Height Wagon	32,160	-16.4%
9	Daihatsu	Mira	Hatchback	29,385	0.2%
10	Suzuki	Alto	Hatchback	25,742	-15.3%
11	Nissan	Dayz	Height Wagon	21,583	-4.7%
12	Daihatsu	Taft	SUV	21,246	-23.7%
13	Suzuki	Jimny	SUV	15,974	-40.8%
14	Suzuki	Every Wagon	Van	11,915	18.7%
15	Honda	N-ONE	Height Wagon	9,571	33.0%

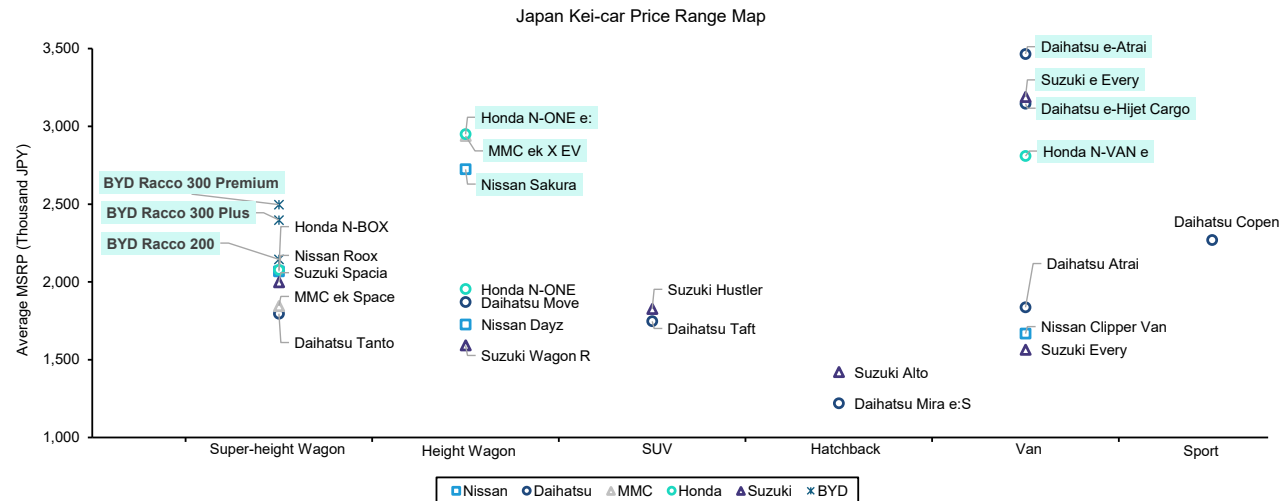
Note: SHW (Super-Height Wagon)

Source: JLMVMA, Bernstein analysis

Average price of Kei-cars ranging JPY ~1.8 mn

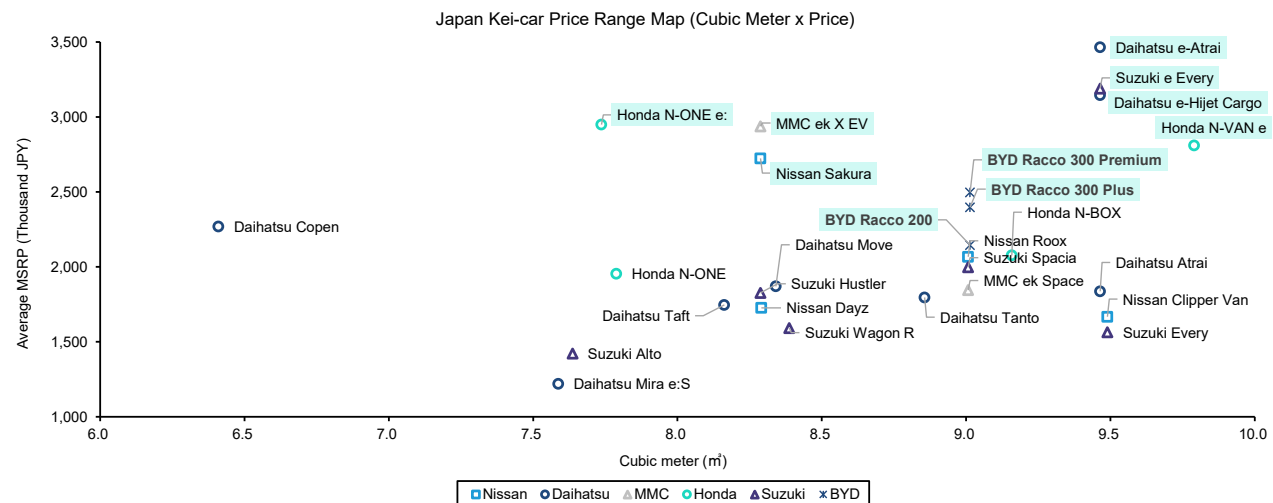
Kei-cars are fundamentally designed to be economical and affordable, which is the core purpose of this category and market. Accordingly, the average price of a Kei-car is JPY ~1.8 mn, considerably lower than that of regular passenger vehicles (Exhibit 12). However, with the expansion of segments and diversification of models, the price range has become quite broad. Among non-BEVs - which still tend to be relatively expensive within the Kei-car market - the super-height wagon stands out with the highest price range, between JPY 1.8-2.1 mn. Additionally, height wagons, which have a lower overall height, typically range in price roughly JPY 1.6-2 mn. SUVs average around JPY 1.8 mn, while hatchbacks, the most affordable passenger cars, usually fall approximately JPY 1.2-1.4 mn. Moreover, consistent with common trends in the automotive market, vehicle prices tend to rise with increasing size (Exhibit 13).

EXHIBIT 12: Average price of Kei-cars ranging JPY ~1.8 mn



Source: Company websites, Bernstein analysis

EXHIBIT 13: Even among Kei-cars, larger models tend to be associated with higher prices



Source: Company websites, Bernstein analysis

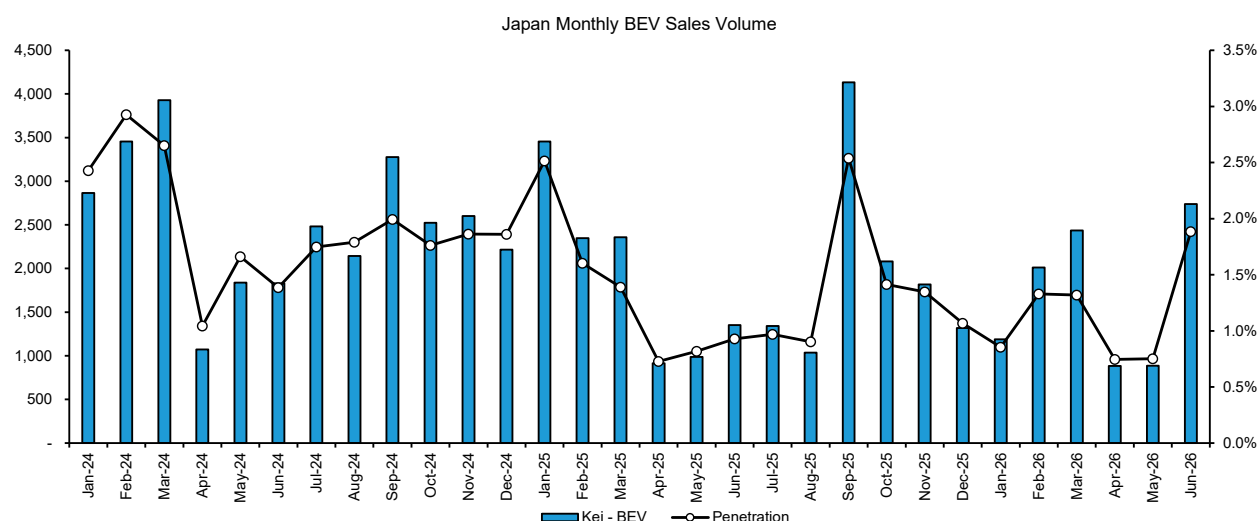
2026 INCREASINGLY SEEN AS A POTENTIAL INFLECTION POINT FOR BEV ADOPTION IN JAPAN

Despite the global acceleration in the shift toward BEVs over recent years, their adoption in Japan has lagged behind. However, accelerating BEV model launches across automakers and enhanced government subsidies are expected to provide a meaningful boost, with 2026 increasingly viewed as a potential inflection point for BEV adoption in Japan. Indeed, BEVs' share

of total vehicle sales in Japan rose steadily from 3.0% in March, before the increase in CEV subsidies, to 3.2% in May, and 3.8% in June. While penetration remains modest compared with other developed markets, the recent trend suggests that the market may be starting to move beyond the very early-adoption phase. The same pattern is evident in the Kei-car BEV segment, where BEV share within overall Kei-car sales expanded from 1.3% in March to 1.9% in June (Exhibit 14). Although the base remains small, the combination of richer model offerings and stronger policy support appears to be gradually improving consumer acceptance of BEVs in Japan.

2026 is shaping up to be a year of accelerating new Kei-car BEV model launches in Japan. By the end of 2025, the number of Kei-car BEVs available in the Japanese market remained limited (Exhibit 15). In the passenger vehicle segment, offerings consisted primarily of Nissan's Sakura and Mitsubishi's eK X EV, both launched in 2022, as well as Honda's N-ONE e:, which entered the market in September 2025. In the commercial vehicle segment, Honda's N-VAN e: was the only major Kei-car BEV offering following its launch in 2024. Since the start of 2026, however, the pace of new model introductions has accelerated noticeably (Exhibit 16). Daihatsu launched the commercial e-Hijet Cargo and e-Atrai in February, followed by Suzuki's e-Every, while BYD is set to enter the passenger vehicle segment with the launch of the Racco, a super-height wagon Kei-car BE. Notably, looking ahead, Suzuki announced it will introduce a passenger Kei-car BEV based on the Vision e-SKY concept exhibited at the Japan Mobility Show 2025. As a result, the number of Kei-car BEV models available in Japan is set to effectively more than double from four at the end of 2025 to nine in 2026, underscoring the rapid expansion of model offerings and intensifying competition across both passenger and commercial vehicle segments. The accelerating pace of product launches suggests that automakers are increasingly viewing the Kei-car BEV segment as a key battleground, particularly as government subsidies are enhanced and BEV adoption gradually gains traction in the Japanese market.

EXHIBIT 14: Sales of Kei-car BEVs have started to expand



Source: Marklines, Bernstein analysis

EXHIBIT 15: **Kei-car BEV models available in the Japanese automobile market (as of 2025)**

OEM	Nissan	MMC	Honda	Honda
Model	Sakura	eK X EV	N-ONE e:	N-VAN e:
Edition	S	G	G	L4
Image				
Usage	PV	PV	PV	CV
Model type	Height Wagon	Height Wagon	Height Wagon	Van
Sales price (JPY k)	2,449	2,662	2,699	2,699
L x W x H (m)	3.4 x 1.5 x 1.7	3.4 x 1.5 x 1.7	3.4 x 1.5 x 1.5	3.4 x 1.5 x 2.0
Cubic meter (m3)	8.3	8.3	7.7	9.8
Vehicle weight (kg)	1,070	1,060	1,030	1,540
Fast charging time (min)	40	40	30	30
EV Range (km)	180	180	295	245
Battery capacity (kWh)	20	20.0	29.6	29.6
Electric Mileage (km/kWh)	9.0	9.0	10.0	8.3
Price (JPY k) / m3	295.1	320.7	350.6	275.4
Price (JPY k) / Electric Mileage	272.1	295.8	270.9	326.1

Note: Sales price in MSRP based on company's regional website and may not reflect actual purchase price; vehicle weight in curb weight; EV range based on WLTP
Source: Company websites and reports, Bernstein analysis

EXHIBIT 16: **Kei-car BEV models available in the Japanese automobile market (in 2026)**

OEM	BYD	Suzuki	Daihatsu	Daihatsu	Suzuki
Model	Racco	Vision e-Sky	e-Hijet Cargo	e-Atrai	e Every
Edition	200	Concept	4-seater	RS	4-seater
Image					
Model type	PV	PV	CV	CV	CV
Sales price (JPY k)	2,145	TBD	3,146	3,465	3,234
L x W x H (m)	3.4 x 1.5 x 1.8	3.4 x 1.5 x 1.6	3.4 x 1.5 x 1.9	3.4 x 1.5 x 1.9	3.4 x 1.5 x 1.9
Cubic meter (m3)	9.0	8.0	9.5	9.5	9.5
Vehicle weight (kg)	1,160	TBD	1,260	1,300	1,260
Fast charging time (min)	30	TBD	50	50	
EV Range (km)	210	TBD	257	257	257
Battery capacity (kWh)	22.4	TBD	36.6	36.6	36.6
Electric Mileage (km/kWh)	9.4	TBD	7.0	7.0	7.0
Price (JPY k) / m3	238.3	TBD	331.2	364.7	340.4
Price (JPY k) / Electric Mileage	228.8	TBD	448.0	493.5	460.6

Note: Sales price in MSRP based on company's regional website and may not reflect actual purchase price; vehicle weight in curb weight; EV range based on WLTP
Source: Company websites and reports, Bernstein analysis

Kei-car BEVs eligible for government subsidies, with actual selling prices up to ~JPY 580K lower

Kei-car BEVs are eligible for both national and local government subsidies (Exhibit 17). Japan's CEV (Clean Energy Vehicle) subsidy program, administered through the Next Generation Vehicle Promotion Center, provides purchase incentives for electrified vehicles, with subsidy levels varying by vehicle category and the manufacturer's environmental performance rating. Following a revision in April 2026, the maximum subsidy was increased to JPY 1.3 mn for standard passenger vehicles, up from JPY 900k previously, while the maximum subsidy available for Kei-car BEVs was raised modestly from JPY 574k to JPY 580k. In addition, the Tokyo Metropolitan Government offers a ZEV subsidy, which can be combined with the CEV program. For privately used passenger BEVs, the total subsidy can exceed JPY 1 mn in Tokyo. In contrast, many local governments outside major metropolitan areas do not offer local subsidies like Tokyo. As a result, the effective subsidy available for passenger Kei-car

BEVs is often limited to the national CEV program. BYD's Racco will qualify for a JPY 150k subsidy under Japan's CEV program.

For commercial electric vehicles, the LEVO subsidy provided by the Japanese government (officially as the Organization for the Promotion of Low Emission Vehicles) applies instead. Under this program, Kei-car BEVs can receive approximately JPY 1.2-1.3 mn in subsidies. This scheme is mutually exclusive with CEV/ZEV subsidies and is limited to commercial-use vehicles, requiring a combined application for both the vehicle and charging equipment.

EXHIBIT 17: Kei-car BEVs eligible for government subsidies up to a maximum of JPY 580k

Subsidy	CEV subsidy		ZEV subsidy		LEVO subsidy	
Overview	- Government subsidy for PVs - Varies by manufacturer rating and vehicle category - Up to JPY 900k for registered vehicles, and 580k for Kei-cars		- Local subsidy (Tokyo) for PVs - Varies by manufacturer rating - Up to 900k for BEVs		- Government subsidy - Subsidy for BEV CVs and charging infrastructure - Requires a combined application for both vehicle and charging equipment - Varies by model grade - Not valid with subsidies for passenger vehicles	
Subsidy amount	Model	(JPY k)	Company	(JPY k)	Company	(JPY k)
	BYD Racco	150	BYD	400	Honda N-VAN e: G	1,304
	Nissan Sakura	580	Nissan	900	Honda N-ONE e:G	1,205
	MMC ek X EV	574	Toyota	900	Nissan Sakura	1,176
	Honda N-ONE e:	580	Daihatsu	300	Nissan Clipper EV	1,227
	Honda N-VAN e:	580	MMC	800	MMC ek X EV G	1,179
	Daihatsu e-Hijet Cargo	356	Honda	900		
	Daihatsu e-Atrai	356	Suzuki	550		
	Suzuki e Every	568	Subaru	700		

Source: Next Generation Vehicle Promotion Center, Tokyo Metropolitan Government, Organization for the Promotion of Low Emission Vehicles, Bernstein analysis

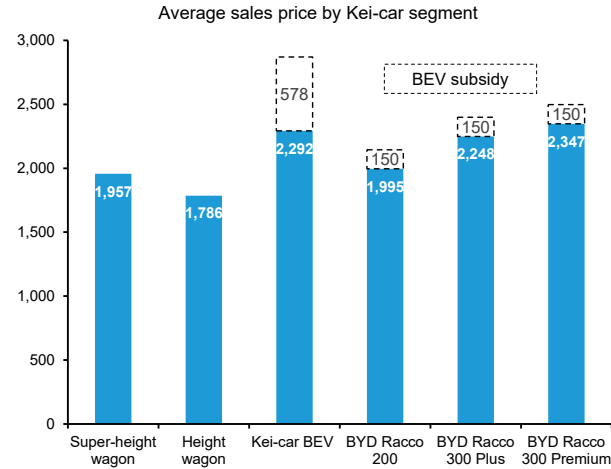
Assessing the price competitiveness of BYD's Racco

In Japan's Kei-car market, where consumers are highly price-sensitive, average MSRPs in the two most popular Kei-car segments, super-height wagons and height wagons, currently stand at JPY ~2,000k and JPY ~1,800k, respectively, based on ICEV/HEV models (Kei-car BEVs excluded from the calculation) (Exhibit 18). By comparison, the three Kei-car BEVs currently available in the passenger vehicle segment - Nissan's Sakura, Mitsubishi Motors' eK X EV, and Honda's N-ONE e:, all of which are positioned in the height wagon category - carry an average MSRP of approximately JPY 2,900k. Even after applying the national CEV subsidy of roughly JPY 580k, the effective purchase price remains around JPY 2,300k, which is still above the average transaction price of conventional ICE-powered super-height wagon and height-wagon Kei-cars.

In contrast, BYD's newly launched Racco offers a compelling pricing proposition. After factoring in the CEV subsidy, the entry-grade Racco 200 is available at an effective purchase price of below JPY 2,000k. Despite being positioned in the super-height wagon segment - which typically commands a price premium due to its larger cabin space, superior practicality, and family-oriented packaging - the Racco is priced only slightly above the subsidy-adjusted entry-grade Nissan Sakura, which is positioned in the lower height wagon segment. More importantly, it is over 10% cheaper than the average subsidy-adjusted prices of the other existing Kei-car BEVs currently available in Japan. Notably, the Racco's effective purchase price is also below that of many conventional ICE and HEV models within the super-height wagon segment itself.

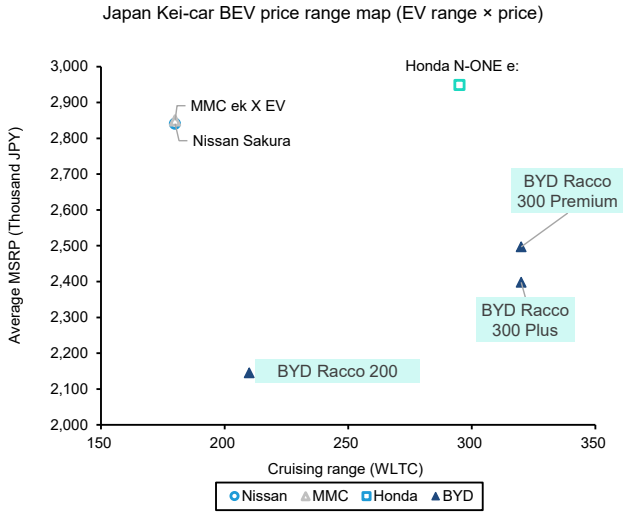
Furthermore, looking beyond pricing and considering the trade-off between cost and driving range - arguably one of the most important performance metrics for BEVs - the competitive strengths of not only the entry-grade Racco 200 but also the higher-end 300 Plus and 300 Premium become apparent (Exhibit 18). To be candid, we had initially expected BYD to adopt an even more aggressive pricing strategy, potentially positioning the Racco at a meaningful discount even to conventional ICE/HEV models within the super-height wagon segment, after accounting for subsidies. In reality, the company appears to have taken a somewhat more cautious approach to pricing than we had anticipated. Nevertheless, the Racco remains competitively priced relative to existing Kei-car BEVs, while offering an effective post-subsidy purchase price broadly comparable to that of ICE/HEV models in the super-height wagon segment. Coupled with rising fuel prices, this strengthens the model's overall value proposition and, in our view, could support a meaningful level of market acceptance.

EXHIBIT 18: **BYD Racco's pricing proposition stands out**



Source: Company websites, Bernstein analysis

EXHIBIT 19: **BYD Racco's cruising range also stands out**



Source: Company websites, Bernstein analysis

CAN BYD RACCO MAKE A MEANINGFUL IMPACT ON JAPAN'S AUTO MARKET?

Since its full-scale entry into the Japanese market in 2023, BYD have offered 4 BEV models in Japan (Exhibit 20). Following the launch of the Atto 3 in January 2023, the company added the Dolphin in September 2023, the Seal in June 2024, and the Sealion 7 in April 2025. BYD also introduced its first PHEV in Japan, the Sealion 6, in December 2025. Despite these efforts, BYD's sales in the Japanese market have remained modest, with only 3,742 units sold in 2025 - just accounting for 0.1% market share—after around three years since entering the market (Exhibit 21).

However, we believe BYD's decision to enter Japan's Kei-car market - the most price-sensitive segment of the country's automotive industry - is strategically sound. More importantly, the company has positioned the Racco with an attractive value proposition, which should help strengthen its presence in Japan and could enable annual sales to reach its target of 10,000 units. If achieved, BYD's share of the overall Japanese passenger vehicle market could rise from approximately 0.1% in 2025 to around 0.3%, while its share of the Kei- car market would increase from virtually zero to roughly 0.6%.

Furthermore, given the Racco's strong product competitiveness within the highly popular super-height wagon segment, we believe the model has the potential to capture a portion of demand currently served by leading nameplates such as Honda's N-BOX, Suzuki's Spacia, and Daihatsu's Tanto and Move. Racco's compelling combination of pricing, practicality, interior space, and EV-specific advantages could make it an attractive alternative for a subset of buyers considering these established models. Moreover, as several Japanese automakers, including Suzuki, have acknowledged, BYD has the potential to act as a catalyst for the broader adoption of BEVs in Japan. In that sense, the Racco's significance may extend beyond its own sales performance, serving as a potential trigger for greater consumer interest in electrification and contributing positively to Japan's xEV transition over the medium to long term.

That said, imported vehicles have consistently represented only around 4% of total vehicle sales in Japan over the past 30 years (Exhibit 22). The low penetration of imported brands reflects Japanese consumers' strong affinity for domestic automakers, demanding expectations for quality and value for money, and a preference for the convenience of established after-sales and maintenance networks. As a result, Japan has historically been one of the most challenging markets for foreign automakers to penetrate, which also helps explain why BYD has so far struggled to replicate the rapid growth it has achieved in other markets.

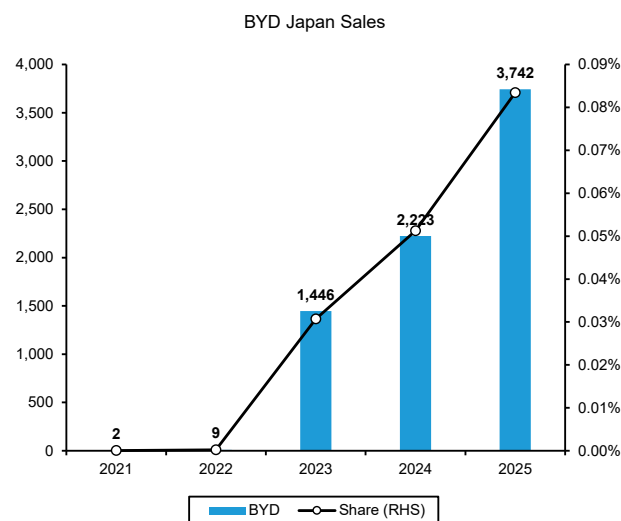
Moreover, Japanese consumers place considerable importance not only on vehicle specifications, pricing, and brand, but also on the availability of sales, after-sales, and maintenance networks when making purchase decisions. In this regard, BYD still faces a meaningful challenge. The company currently operates just ~70 dealer locations in Japan, compared with Suzuki's ~1,200 locations nationwide. While the Racco will be marketed through alternative channels such as shopping malls and online platforms, the ability to provide convenient and reliable maintenance services will likely be a key determinant of long-term sales growth. As such, it is difficult to argue that the launch of the Racco will immediately pose a significant threat to Japan's overall automotive market or materially undermine the positions of incumbent Kei-car leaders such as Suzuki.

However, Honda may be more exposed than its peers. The company holds a ~30% share of the super-height wagon segment through the N-BOX, the best-selling model in Japan's Kei-car market, which also accounts for approximately 30% of Honda's domestic vehicle sales. As such, BYD's Racco could emerge as a competitive threat to the N-BOX, and stronger-than-expected sales growth of the Racco could be slightly negative for Honda.

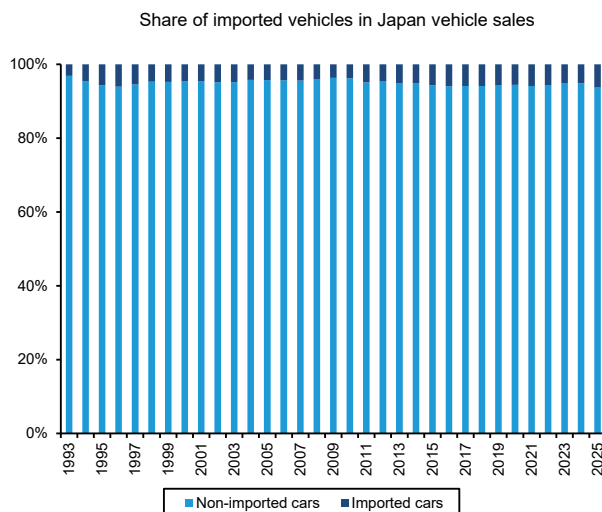
EXHIBIT 20: **BYD's BEV model line-up in Japan (excluding Racco)**

OEM Model Edition	BYD Dolphin Baseline	BYD Atto 3	BYD Seal RWD	BYD Sealion 7 RWD
Image				
Model type	B-Segment Car	C-Segment SUV	D-Segment Car	D-Segment SUV
Sales price (JPY k)	2,992	4,180	4,950	4,983
L x W x H (m)	4.2 x 1.8 x 1.6	4.5 x 1.9 x 1.6	4.8 x 1.9 x 1.5	4.8 x 1.9 x 1.6
Cubic meter (m3)	11.8	13.5	13.1	15.1
Vehicle weight (kg)	1,520	1,750	2,100	2,230
Fast charging time (min)	30	30	30	30
EV Range (km)	415	470	640	590
Battery capacity (kWh)	44.9	58.6	82.6	82.6
Electric Mileage (km/kWh)	9.2	8.0	7.7	7.1
Price (JPY k) / m3	253.6	309.6	377.9	330.0
Price (JPY k) / Electric Mileage	323.7	521.2	638.9	697.6

Note: Sales price in MSRP based on company's regional website and may not reflect actual purchase price; vehicle weight in curb weight; EV range based on WLTP
Source: Company websites and reports, Bernstein analysis

EXHIBIT 21: **While BYD has just made a full-scale entry into the Japanese market in 2023, its current sales volume and market share remain minimal**

Source: IHS, Bernstein analysis

EXHIBIT 22: **Imported vehicles have consistently accounted for only about 4% of Japan's total vehicle sales on average over the past 30 years**

Source: JAMA, Bernstein analysis

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